5.1 Money and Finance

Video: Money and Finance (Crash Course Economics)

Life Without Money

Trading goods and services directly for other goods and services is called the _____. It takes a lot of time and energy.

Economists say money serves three main purposes:

Purpose of Money	What It Means
	Generally accepted as payment for goods and services
	Can be saved up to buy things later (unlike bananas, which go bad)
	A standardized metric that lets us measure the relative value of things

What Counts as Money?

Technically, money is anything that is used as a medium of exchange. Over time, societies have used cattle, grain, feathers, shells, and even huge limestone rai stones on Yap Island.

Today, a lot of money is not physical. It is _____ and moves around electronically, such as checks and direct deposits.

_____ is a digital currency that is not issued or regulated by a specific country. Because many people buy it hoping to turn a profit, it acts more like a _____.

What Makes Money Valuable?

Under the _____, each U.S. dollar could be redeemed for a specific amount of gold. The U.S. moved off it in the 1930s.

Money, whether it is cash or gold, is all about _____. Milton Friedman said paper money has value because everyone thinks it has value.

The Financial System

The financial system brings together two groups: _____, who have money now and want more in the future, and _____, who need money now and will repay it later.

Borrowers include households, businesses that need to invest in _____ like machinery and factories, and governments.

Borrowers pay back loans with _____, which makes lending worth the lender's time.

Three Ways Lenders and Borrowers Connect

Way	How It Works
Banks	Lenders deposit money; the bank loans it to families and businesses.
	A bond is basically an _____: the borrower pays regular interest and repays the money at a set date.
Stock Market	Stock is slices of _____ in a company; shareholders make money if the company is profitable.

Debt vs. Equity

Bank loans and bonds deal in _____: the amount you must repay is set. Stocks are known as _____: if the company does well, shareholders get more; if it goes bankrupt, they may get nothing.

Financial markets let borrowers raise money from many investors and spread the _____ around, so lenders don't have to put all their eggs in one basket.

Think About It

Almost everyone is a lender and a borrower at some point. Describe one way you might be a lender or a borrower in the next five years: _____